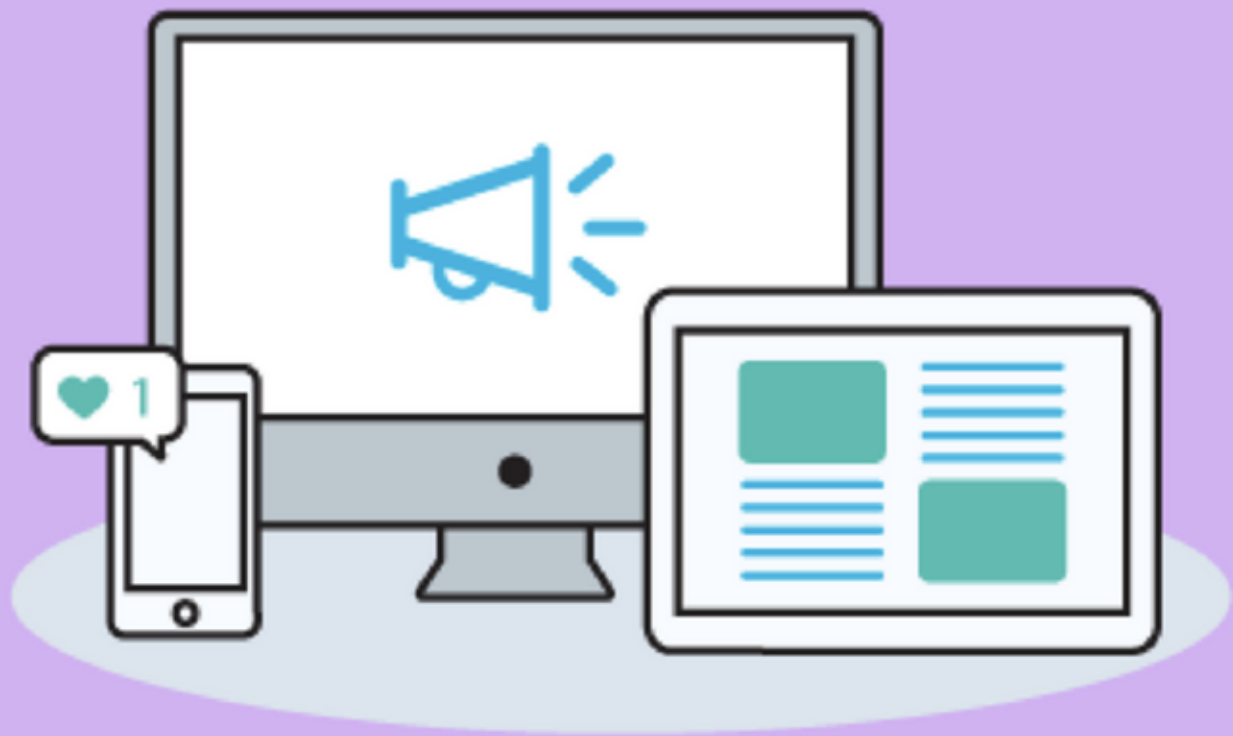


Project 1

Get Ready To Market





Marketing Challenge

Magnolia Coffee Company

Company Profile:

Magnolia Coffee Company

Company Background

The Magnolia Coffee Company was founded in 2009 in Summerville, South Carolina when owner Dan Sumner went looking for a local neighborhood place to meet with friends and clients that was warm, welcoming, and inviting. After years of traveling and working abroad, Dan settled down outside of Charleston with his dog Buddy. Bringing his interest in international, fair trade coffees, he purchased and outfitted his first coffee shop out of what would be the first of over 200 local neighborhood retail locations across the Southeast United States.

Located in suburbs outside of major metropolitan areas with populations of 50-75k people, each Magnolia Coffee Company location is known for its local hometown flavor and community ties. Retail locations are situated near heavily populated office buildings, high traffic retail shopping and eating establishments and next to gym and fitness studios.

Marketing has been more of a buckshot approach without consistent or strategic actions. Dan started building his marketing efforts by marketing to everyone who enjoys coffee. He also created a website, a Facebook page, and even an online app to assist with online ordering and a frequent customer rewards program. While word-of-mouth and some social media posts have gained a dedicated and loyal following, the last two years have seen stagnant growth. Dan is looking for a marketing plan that will help build his customer base and his bottom line.

Competitor Profile:

ClamClams

Company Background

Magnolia's biggest competitor is Clamclams - a massive multinational chain of 10,000+ coffeehouse stores in the US alone. It's known for its wide variety of hot and cold drinks, as well as its selection of pastries, sandwiches, and other foods. Their revenue is almost exclusively derived from physical store sales.

Clamclams branding strategy highlights its commitment to sourcing high-quality coffee beans, as well as its efforts to promote sustainability and social responsibility. The company is known for its seasonal in-out drinks, like the "Cherry Blossom Latte" - its yearly releases have turned into anticipated events that are happily shared on social media among the brand's core users.

Despite its triumphs, ClamClams has experienced a variety of challenges. The company was late to identify the demand for the rise of delivery services for ordering beverages without visiting a physical store. So far, ClamClams failed to figure out an efficient way to use 3rd party delivery providers without a huge impact on gross margins or prices.

Furthermore, Clamclams is heavily dependent on a limited number of suppliers who are able to satisfy its ever-growing demands without compromising quality. Also, like any big brand, Clamclams is under constant scrutiny in the public eye. Every claim made by the company is verified. In a few instances, the company faced the threat of a nationwide boycott when its fair-trade image was put in doubt.



Step 1:

Market Position

Identify the Target Market for Magnolia Coffee Company

Magnolia Coffee Company's target market consists of middle-income adults aged 20–40 living in suburban areas near mid-sized cities (50–75k population), with a mix of young professionals and early-stage families. These consumers are typically working professionals or students with moderate disposable income, who frequent locations near offices, gyms, and retail centers as part of their daily routines. They are digitally engaged, use mobile apps and loyalty programs, and value convenience, quality, and speed of service. Additionally, they are socially and community-oriented, preferring local, welcoming environments over large corporate chains and are influenced by social media and lifestyle trends.

SMART Marketing Objective

for Magnolia Coffee Company

Over the next 12 months, Magnolia Coffee Company will increase in-store foot traffic by 15% by improving its digital marketing strategy and enhancing its customer rewards program.

Key Performance Indicator for Magnolia Coffee Company

Main KPI: Number of customer visits per store per month.

Secondary KPI: Number of loyalty program sign-ups per month.

Tertiary KPI: Number of website visits per month.

SWOT Analysis Competitor

for ClamClams

Strengths

- Strong brand recognition
- Wide range of products
- Large global presence

Weaknesses

- *High dependency on physical store sales*
- *Inefficient delivery model impacting margins*

Opportunities

- Expansion to (yet) untapped markets
- Diversification to non-coffee products
- Cross-marketing with other global brands

Threats

- *Public scrutiny and reputational risks*
- *Supply chain dependency on limited suppliers*

SWOT Analysis

for Magnolia Coffee Company

Strengths

- *Strong community-based brand identity*
- *Personalized customer experience*

Weaknesses

- Limited resources
- Not established brand image
- Quality of service vary depending on staff in given location

Opportunities

- *Expansion of digital marketing and loyalty programs*
- *Partnerships with local businesses and gyms*

Threats

- Competitors with bigger marketing budget
- Increasing costs of obtaining new customers
- Differences between locations can create inconsistent brand image

Value Proposition

For suburban professionals and community-oriented coffee lovers **who** seek a welcoming place to relax, work, or socialize **our** coffee shops provide high-quality, ethically sourced beverages in a warm, neighborhood-focused environment **that** fosters connection and convenience. **Unlike** large chains like ClamClams **our offer** delivers a personalized, community-driven coffee experience with strong local ties.



Step 2:

Customer Persona

Empathy Map



Thinking

- *I want a relaxing place near work or home*
- *Quality coffee matters to me*
- *I prefer supporting local businesses*

Seeing



- *Social media ads from coffee brands*
- *Busy chain coffee shops*
- *Local coffee shops near gyms and offices*



Doing

- *Ordering coffee via mobile apps*
- *Visiting coffee shops for meeting or work*
- *Engaging with loyalty programs*

Feeling



- *Wants comfort and familiarity*
- *Enjoys a sense of community*
- *Frustrated by long waits or inconsistent service*

Customer Persona

Background and Demographics	Customer Persona	Needs
<i>Lives in suburban area</i> <i>Works full-time</i> <i>Visits coffee shops 3-5 times per week</i>		<i>High quality coffee</i> <i>Fast service</i> <i>Comfortable environment</i>
Hobbies or Interests	Goals	Barriers
<i>Fitness and yoga</i> <i>Socializing with friends</i> <i>Using apps and social media</i>	<i>Find a reliable daily coffee spot</i> <i>Balance work and life</i> <i>Feel connected to a local community</i>	<i>Long wait times</i> <i>Inconsistent service</i> <i>Weak loyalty incentives</i>



Step 3:

Customer Journey Map

Customer Journey Map

	Awareness	Interest	Action
Goal: Broad objective for this stage	Create awareness about Magnolia Coffee company.	<i>Encourage customers to learn about the menu and the atmosphere of Magnolia Coffee.</i>	<i>Motivate customers to visit the store or place an order.</i>
TouchPoint (doing): Where is the customer and how can they interact with the brand	At this stage, the potential customer needs to be reached. We can interact online while they browse Social Media or selected websites.	<i>Customers engage with the brand by exploring its website, reviewing its social media presence, or accessing information through their Google searches.</i>	<i>Customers are encouraged to complete their purchase via the mobile application or during their in-store visit.</i>
Experience (Thoughts/Feelings): Happy? Stressed? Describe the state of mind of your customer during interactions with the brand.	We aim to reach them when they are relaxed but open to new experiences. Like when, they're casually browsing the internet.	<i>Customers become curious and engaged, browsing the website and reading customer reviews to better understand the offering.</i>	<i>New customers place orders, interact with staff, and evaluate the quality of service and overall experience.</i>

Customer Friction

	Post-Action
Potential Gap: What's point of friction was identified?	Magnolia Coffee aims to acquire more users in its rewards program during the Post-action phase of the customer's journey. However, a potential point of friction may occur with this initiative due to privacy concerns. It seems that customers could be hesitant to provide their personal data for marketing purposes.
Solution: What milestone or step can be added to remedy this?	Introduce a loyalty program at the point of purchase. Clearly explain how customer data is used and protected and include trust badges to reassure customers. Keep the sign-up process simple by asking for minimal information. Offer an immediate reward to encourage participation. Customers can also join through social media to avoid sharing personal data directly. Finally, improve the usability of the mobile application to make participation easier and more appealing.



Step 4: Marketing Plan

Marketing Plan: Content Planning

	Awareness	Interest	Consideration	Desire	Action	Post Action	Loyalty & Advocacy
Goal: Broad objective for this stage	Create awareness about Magnolia Coffee company.	Encourage customers to learn more about the products and brand experience.	Provide information, proof, and reassurance to help customers evaluate Magnolia Coffee against alternatives.	Create a strong preference for Magnolia Coffee and motivate customers to consider visiting or purchasing.	Encourage customers to visit the store or place an order.	Build customer loyalty and encourage repeat purchases.	Encourage repeat purchases, deepen engagement, and motivate customers to recommend Magnolia Coffee to others.
TouchPoint (doing): Where is the customer and how can they interact with the brand	At this stage, the potential customer needs to be contacted. We can interact online while they browse social media or selected websites.	Customers interact with the brand by visiting its website, exploring its social media profiles, or reading online reviews.	Customers read reviews and testimonials, compare products or flavors, explore detailed product descriptions, promotions, and limited-time offers on the website and social media.	Customers engage more deeply with content, such as viewing detailed product descriptions, promotions, or limited-time offers.	Customers place an order through the website, mobile app, or by visiting the physical store.	Customers interact with the brand after purchase through loyalty programs, feedback forms, or social media engagement.	Customers participate in referral programs, community events, and gamified loyalty activities. They also share experiences on social media, submit testimonials, and engage with VIP or exclusive customer programs.

Marketing Plan: Content Planning

	Awareness	Interest	Consideration	Desire	Action	Post Action	Loyalty & Advocacy
Experience (Thoughts/Feeling): Describe the state of mind of your customer during interactions with the brand.	We aim to reach them when they are relaxed but open to new experiences. Like when, they're casually browsing the internet.	Customers become curious and start exploring the brand. They are interested more about the menu, pricing, and interior design	Customers compare Magnolia with alternatives (e.g., ClamClams or other local coffee shops). They evaluate whether Magnolia fits their needs in terms of quality, convenience, atmosphere, and price. They may feel interested but cautious, looking for reassurance before committing.	Customers begin to imagine the experience. They feel attracted by the products, promotions, or brand image. They consider making a purchase.	Customers are motivated and ready to make a purchase. They expect a smooth experience when placing an order online or visiting the store. They may feel excited.	Customers reflect on their experience. They may feel satisfied or disappointed depending on service quality.	Customers who had a positive experience feel satisfied and emotionally connected to the brand. Loyal customers are more likely to return regularly and recommend Magnolia to others.
Frictions and opportunities: Do customer face any obstacles to overcome? Can we help? Are there any opportunities we see?	You make the first impression once. Choosing an intrusive ad format may backfire. We need to present Magnolia without being pushy.	Customers may lose interest if information is unclear or difficult to access. Only clear, engaging, and informative content should be provided.	Customers may feel uncertain due to lack of strong differentiation or inconsistent experiences across locations. Limited reviews or unclear brand positioning can create hesitation.	Customers may hesitate if the value proposition is not compelling. This creates an opportunity. It should present unique selling points, promotions and social proof.	Complex or time-consuming purchasing processes may lead to increased bounce rate. The customer journey should be simplified.	While the customers are hesitant to join our reward program due to privacy concern, it can be fixed by clearly communicating how data is used, displaying trust badges, or simplifying the sign-up process.	Customer may forget about the brand or feel there is no added value in returning. Weak engagement after purchase can limit repeat visits.

Marketing Plan: Content Planning

	Awareness	Interest	Consideration	Desire	Action	Post Action	Loyalty & Advocacy
Channels (What suits our approach)	Facebook, Instagram, Local Pages	Social Media, Google Search	Google Reviews, Google Maps, Micro Influencer	Email Marketing, Influencer Marketing	Google Maps, Website, Mobile App	Push Notifications, Email Marketing	Mobile App, Email Marketing
Message (What we want to communicate at this stage)	"What's the fastest growing coffee chain in your local area?"	"Do you know where our coffee grows? Click to find out!"	"Why your neighbors choose Magnolia over big chains?"	"More than coffee: your daily moment to relax, recharge, and connect!"	"Your first Magnolia coffee is on us."	"Enjoyed your visit? Your next coffee is closer than you think."	"Share Magnolia with friends and get rewarded together."